- Do not make more than one major investment decision every five years.

That covers almost everything. But after eliminating all those possible investments, is there anything left?

What's left is the biggest, most profitable, and safest kind of investing. It works only for serious, very long-term-oriented investors who are willing to listen for the market to tell its story—and patient enough to let it come to the end. We want to invest in a long-term trend that is so basic, so unstoppable that you don't have to be especially lucky or particularly smart. We want to find the markets in which you don't have to be a genius to make money.

That's the difference between the usual investment approach and our approach. We're not looking for companies that will outperform the market in the next six months or next year. We're not looking for the next Microsoft, though we'd be happy to find it! We're looking for the fortune-making trends that will multiply our wealth by 10 times or more over a long period of time. We don't want to beat the market. We just don't want to get beaten by it.

BORN YESTERDAY

Probably the first thing you should understand is that the financial industry is largely parasitic. Of course, the pros are in it for the money. Nothing wrong with that. So are bricklayers and streetwalkers. But the bricklayers and streetwalkers, presumably, give you value for money and go on their way. Wall Street does not.

A parasite attaches himself to his host and drains him of his life's blood. He does not charge for services rendered and move on. Instead, he continues to levy his fees, commissions, spreads, and insidious charges. His interests are at odds with yours. The stockbroker, for example, wants to encourage you to buy and sell, when that is precisely what you shouldn't do. The fund manager, the dealmaker, and the structured products engineer all make their money by encouraging you to do things that are most often